



Time: 4 minutes

Outcome: Explain how prices coordinate buyers, sellers, and resource allocation.

Difficulty: Intermediate

Price Signals

THE CORE IDEA

Prices coordinate decentralized decisions by communicating scarcity and changing the incentives facing buyers and sellers. Information about waiting costs can redirect users much like a price signal. A higher price raises the cost of consuming the good and encourages substitution or conservation. A higher price communicates stronger scarcity or demand pressure and encourages supply responses. A supply improvement can lower price by reducing the good's relative scarcity.

HOW TO RECOGNIZE IT

- A higher price communicates stronger scarcity or demand pressure and encourages supply responses.
- The price of a product falls after a new production technology spreads.
- A congested road has no toll.
- A price rises while quantity sold also rises.
- A shortage persists because a legal ceiling prevents price from rising.

WATCH OUT

A common mistake is to assume that a higher price always tells buyers and sellers to do the same thing. It discourages quantity demanded while encouraging quantity supplied, coordinating opposite responses.

WORKED EXAMPLE: USING A PRICE SIGNAL

A shortage develops at the current market price. Buyers compete for the limited units, putting upward pressure on price. As price rises, quantity demanded falls and quantity supplied rises, reducing the shortage. The price signal helps coordinate buyers and sellers without a central allocation decision.

CHECK YOURSELF

What response does a higher market price normally encourage from sellers?